GradientCIO

GLOBAL PUBLIC EQUITY PORTFOLIO CONSTRUCTION

Northstar Global Public Equity Portfolio

Portfolio construction review · prepared for the Investment Committee

AS OF
2026-06-30

TOTAL NAV
$1,000.0M

PUBLIC-EQUITY WEIGHT
42.0%

POLICY BENCHMARK
Northstar Global Equity Index

OVERALL VIEW
Manager and issuer concentration on watch

SCOPE REVIEWED
9 of 10 · Partial

01 Executive Decision

OVERALL VIEW

Manager and issuer concentration on watch

SCOPE REVIEWED · 9/10

RECOMMENDATION

We recommend retaining the 42.0% total-fund public-equity allocation while moving 4.0 percentage points of the sleeve from concentrated active mandates to a global passive completion mandate S3 S4 S7. Committee action requested: approve the target manager structure and phased funding, subject to manager diligence and concentration limits S3 S8.

PUBLIC-EQUITY WEIGHT	ACTIVE WEIGHT	RELATIVE RETURN	LARGEST CONCENTRATION
42.0%	0.0pp	-0.6pp	2.3% NAV
Policy target 42.0% S3	Total-fund target S3	Trailing 1Y versus benchmark S5	Largest issuer; lagged 13F look-through S7

Recommendation and action requested

We recommend moving 4.0 percentage points of the equity sleeve from concentrated active mandates to a global passive completion mandate. Committee action requested: approve the target lineup and phased funding S3 S4 S8.

DECISION SUMMARY

DECISION ELEMENT	PROPOSED ACTION	EVIDENCE	STATUS
Total equity	Retain 42.0% of total fund	S3	Compliant
Active core	Reduce from 57.1% to 47.6% of equity	S4 S8	Proposed
Passive completion	Increase from 28.6% to 38.1%	S4 S8	Proposed

Conditions and limits

Complete manager comparison and diligence, confirm transition costs, and preserve governed manager and issuer concentration limits S3 S7 S8.

Key judgment — headline signal

Observation: The sample report carries a manager-and-issuer concentration signal above the clear threshold S1. Why it matters: This signal focuses oversight on the report's most decision-relevant condition. Uncertainty: Evidence coverage may exclude newer or more detailed observations. What would change the view: A governed refresh showing a different signal or breached threshold.

Key judgment — primary measure

Observation: Public-equity weight is 42.0% in the review evidence S2. Why it matters: This measure establishes the baseline for comparing later governed results. Uncertainty: The source basis may omit newer observations outside the reviewed evidence. What would change the view: A refreshed source report showing a change above 1%.

Key judgment — monitoring priority

Observation: Largest concentration is 2.3% NAV in the review evidence S3. Why it matters: This result determines which item receives priority in the next monitoring cycle. Uncertainty: Supporting coverage may omit later filings or corroborating detail. What would change the view: A new filing or report that resolves the item or changes it by 1%.

02 Mandate, Benchmark and Data Basis

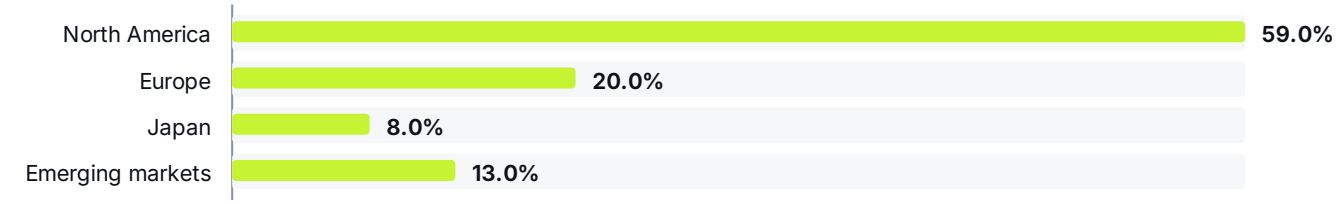
Portfolio	**Northstar Total Fund** S2
Mandate	**Global public-equity growth** S8
Benchmark	**Northstar Global Equity Index** S5
Horizon	**10 years** S6
Return basis	**Net** S5
Data scope	**Illustrative sample data** S1 S1

GOVERNED FRAMEWORK

AREA	OBJECTIVE OR LIMIT	OBSERVED	STATUS	SOURCE
Public equity	32.0%–52.0%	42.0%	Compliant	S3
Single manager	At or below 15.0% NAV	13.0%	Watch	S3 S4
Single issuer look-through	At or below 3.0% NAV	2.3%	Watch	S3 S7

03 Current Global Public Equity Portfolio

PUBLIC-EQUITY REGIONAL EXPOSURE



CURRENT SLEEVE

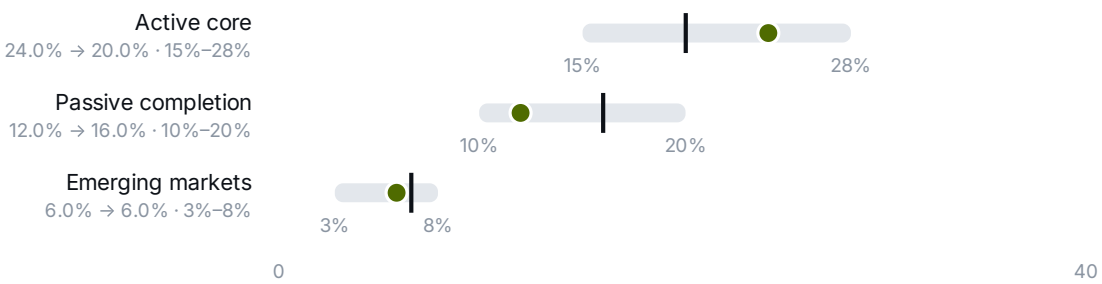
MANAGER / EXPOSURE	ROLE	VALUE	% PORTFOLIO	% EQUITY	AS OF
Example Active Global Manager A	Active core	$150.0M	15.0%	35.7%	2026-06-30 S4
Example Active Global Manager B	Active core	$90.0M	9.0%	21.4%	2026-06-30 S4
Example Global Index Fund	Passive completion	$120.0M	12.0%	28.6%	2026-06-30 S4
Example Emerging Manager	Emerging markets	$60.0M	6.0%	14.3%	2026-06-30 S4

Manager roles are from the illustrative mandate; regional weights are returned portfolio analytics and retain their stated basis S4 S8.

04 Target Portfolio Structure

The proposed mix reduces concentrated risk while preserving mandate exposure

CURRENT WEIGHT VERSUS POLICY RANGE



CURRENT AND TARGET MIX



TARGET ALLOCATION CHANGES (PERCENTAGE POINTS)



CURRENT VERSUS TARGET

SEGMENT	CURRENT	TARGET	CHANGE	RANGE / CONSTRAINT	RATIONALE
Active core	24.0%	20.0%	-4.0pp	15.0%–28.0%	Reduce manager concentration S3 S4
Passive completion	12.0%	16.0%	+4.0pp	10.0%–20.0%	Improve benchmark completion S5 S8
Emerging markets	6.0%	6.0%	0.0pp	3.0%–8.0%	Maintain strategic exposure S3 S6

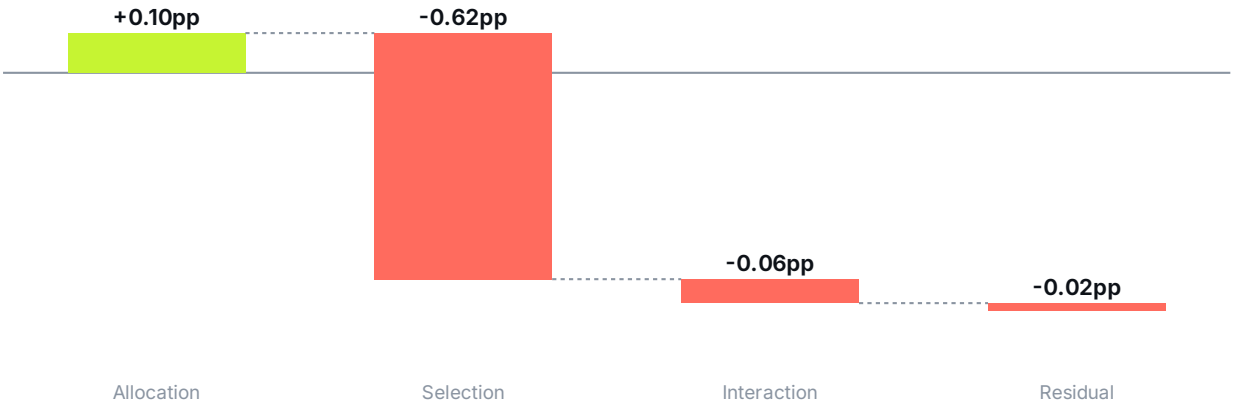
Analysis — Why this target

Observation: The target moves 4.0 percentage points from active core to passive completion S4 S8. Why it matters: Manager concentration falls while equity exposure remains preserved S3. Uncertainty: CMA, regime, findings and cost coverage remain incomplete S9. What would change the view: Completed records showing no measurable concentration reduction S8 S9.

The target is a committee proposal and is not a saved portfolio change S3 S8.

05 Historical Performance and Attribution

GOVERNED ATTRIBUTION EFFECTS



Returned attribution effects; residual is shown explicitly S5.

STANDARD PERIODS

PERIOD	PORTFOLIO / SLEEVE	BENCHMARK	EXCESS	COVERAGE
1Y equity sleeve	10.2%	10.8%	-0.6pp	Complete S5
3Y equity sleeve (ann.)	9.4%	9.1%	+0.3pp	Complete S5
5Y equity sleeve (ann.)	8.1%	8.4%	-0.3pp	Complete S5

ATTRIBUTION EFFECTS

EFFECT	CONTRIBUTION	SOURCE
Allocation	+0.10pp	S5
Selection	-0.62pp	S5
Interaction	-0.06pp	S5
Residual	-0.02pp	S5

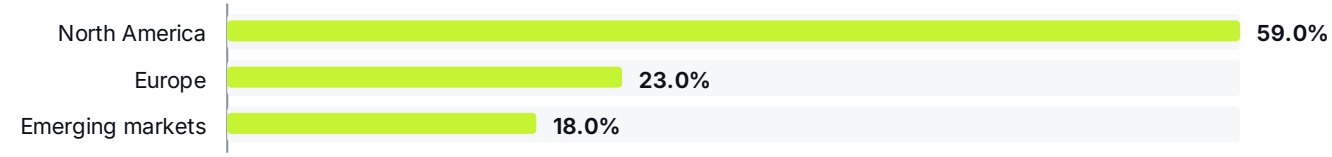
Governed attribution method and reconciliation metadata follow S5.

Method	**Brinson-Fachler** S5
Linking	**Symmetric Carino** S5
Basis	**Net, monthly linked** S5
Tolerance	**1 bp; degraded residual** S5

06 Factor Exposures and Concentration

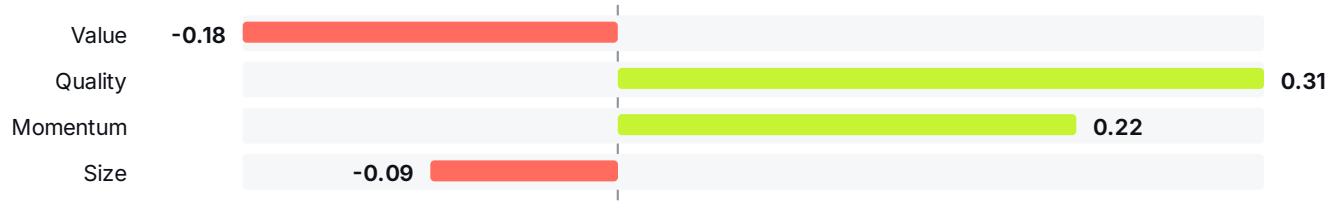
Completion exposure reduces reliance on concentrated active risks

REGIONAL ALLOCATION



Returned equity-sleeve regional allocation S4.

ACTIVE FACTOR EXPOSURE



GOVERNED CONCENTRATION

AXIS	OBSERVED	LIMIT	STATUS	SOURCE
Largest manager	13.0% NAV	15.0%	Watch	S3 S4
Largest issuer look-through	2.3% NAV	3.0%	Watch	S3 S7
North America	59.0% of equity	Not assessed	not assessed	S4

Analysis — Concentration remains near limits

Observation: The largest manager and issuer look-through remain below but near governed limits S3 S4 S7. Why it matters: Completion exposure can reduce reliance on concentrated active mandates. Uncertainty: Issuer look-through evidence is lagged and incomplete S7. What would change the view: Refreshed holdings showing concentration safely below policy thresholds S4 S7.

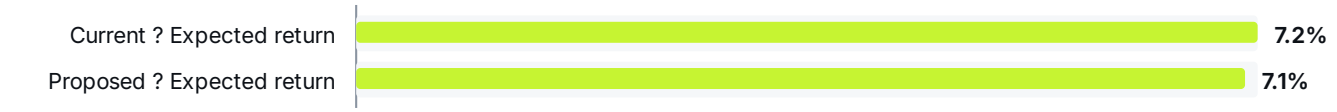
Look-through limitation

The issuer concentration uses lagged Form 13F evidence and does not represent a complete holdings record S7.

07 Forward Return and Risk

Governed assumptions frame tradeoffs rather than forecasts

FORWARD EXPECTED-RETURN COMPARISON



Governed forward assumptions; assumptions, not forecasts S6.

Assumption set	**2026 Strategic CMA** S6
Regime	**Baseline** S6
Horizon	**10 years** S6
Currency	**USD** S6
Context fingerprint	**test-equity-forward-2026** S6

GLOBAL EQUITY FORWARD ASSUMPTIONS

MEASURE	CURRENT SLEEVE	PROPOSED SLEEVE
Expected return	7.2%	7.1%
Expected volatility	16.8%	15.7%
Expected max drawdown	-28.5%	-26.6%

Analysis — Risk falls modestly

Observation: The proposed sleeve has lower expected return, volatility and drawdown than the current sleeve S6. Why it matters: Completion trades little assumed return for lower modeled risk. Uncertainty: These long-horizon assumptions exclude realized implementation results. What would change the view: Refreshed results showing no measurable modeled-risk improvement S6.

These figures are assumptions under the selected context, not forecasts or guarantees S6.

08 Manager and Issuer Concentration

Concentration limits shape manager implementation

LARGEST GOVERNED CONCENTRATIONS



Returned concentrations and governed limits S3 S4 S7.

CURRENT AND PROPOSED ROLES

MANAGER	ROLE	EXPOSURE	EVIDENCE STATUS	PROPOSED ACTION	NEXT STEP
Example Active Global Manager A	Active core	15.0% NAV	Current S8	Reduce by 2.5pp	Review funding schedule
Example Active Global Manager B	Active core	9.0% NAV	Current S8	Reduce by 1.5pp	Complete performance review
Example Global Index Fund	Passive completion	12.0% NAV	Current S8	Increase by 4.0pp	Confirm vehicle terms

LOOK-THROUGH FLAGS

ISSUER	LOOK-THROUGH VALUE	% NAV	MANAGERS	EVIDENCE DATE	FLAG
Example Technology Issuer A	$23.0M	2.3%	2	2026-05-15	Near policy watch level S7
Example Consumer Issuer B	$15.0M	1.5%	2	2026-05-15	Monitor overlap S7

Form 13F caveat

Form 13F evidence is lagged by up to 45 days, covers long-only US-listed equity, excludes shorts, cash, non-US listings and private assets, and uses USD filing values that are not FX-converted against NAV S7.

Analysis — Concentration shapes implementation

Observation: The largest manager and issuer remain below but near governed limits S3 S4 S7. Why it matters: Completion reduces reliance on concentrated active mandates. Uncertainty: Issuer look-through evidence is lagged and incomplete S7. What would change the view: Refreshed manager records showing concentration safely below policy thresholds S4 S7.

09 Scenarios and Robustness

GOVERNED SCENARIO RESULTS



Alternative-regime and tracking-error scenarios are unavailable S9.

SUPPORTED SCENARIOS

SCENARIO	RETURN / LOSS	RISK MEASURE	BASIS	SOURCE
Baseline assumptions	7.1% expected return	15.7% volatility	Proposed sleeve	S6
Alternative regime	Not available — no comparable returned context	Not available	Unavailable	S9
Tracking-error scenario	Not available — active-risk result not returned	Not available	Unavailable	S9

Selected-series sandbox — not saved-portfolio analytics

Not available — no Strategy Lab return series selected S9.

10 Implementation Plan

IMPLEMENTATION STEPS

PHASE	ACTION	SIZE	FUNDING SOURCE	CONDITION	OWNER
1	Fund passive completion	2.0pp	Active-manager redemption	Vehicle and liquidity confirmed	Investment staff
2	Complete target shift	2.0pp	Active-manager redemption	Diligence and transition costs complete	CIO

ALTERNATIVES CONSIDERED

ALTERNATIVE	BENEFIT	COST / RISK	REASON NOT SELECTED
No change	No turnover	Concentration persists	Does not address watch items S3 S7
Replace all active core	Maximum simplification	Manager and transition risk	Evidence does not support full replacement S5 S8

- Complete manager comparison and diligence before final funding S8.
- Confirm transition costs before implementation S9.
- Refresh governed concentration and attribution after phase one S3 S5.

11 Risks, Open Items and Approvals

DECISION RISKS

PRIORITY	RISK	EVIDENCE	MITIGATION / CONDITION	OWNER
High	13F coverage is incomplete	Lagged long-only evidence S7	Use as a concentration flag only	Investment staff
Medium	Selection shortfall	-0.62pp S5	Stage funding and monitor attribution	CIO
Medium	Transition costs unavailable	Coverage gap S9	Obtain estimates before phase two	Operations

OPEN ITEMS AND APPROVALS

TIMING	ITEM	REQUIRED EVIDENCE	OWNER	STATUS
Before approval	Confirm passive vehicle	Terms and liquidity	Investment staff	Open S8
Within 30 days	Transition-cost estimate	Manager / custodian estimate	Operations	Open S9
Next review	Refresh look-through	Latest 13F period	Research team	Open S7

12 Coverage

Portfolio and allocation	**available**	Illustrative sample data S2
Policy	**available**	Allocation and concentration S3
Exposure	**available**	Manager and regional rows S4
Returns and attribution	**degraded**	Residual outside tolerance S5
Forward assumptions	**available**	2026 Strategic CMA S6
13F look-through	**degraded**	Lagged and incomplete S7
Manager evidence	**available**	illustrative mandate S8
Scenario and cost evidence	**unavailable**	Not returned S9
CMA consensus	**unavailable**	Optional context not returned S6
Strategy Lab	**unavailable**	No selected series S9
Manager diligence	**unavailable**	Optional diligence not returned S8
Transaction costs	**unavailable**	Not returned S9

A Appendix — Sources and methods

TAG	EVIDENCE	BASIS	TOOL / VIEW	KEY PARAMETERS	AS OF	DATA SCOPE	VALIDATION	DIGEST
S1	Organization and capabilities	gradient_tool	list_organizations; get_gradient_capabilities	organization=test	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S2	Portfolio and allocation	gradient_tool	list_portfolios; get_portfolio_structure	allocation_tree	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S3	Policy assessment	gradient_tool	check_portfolio_policy	portfolio=test	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S4	Public-equity exposure	gradient_tool	get_portfolio_exposure; get_portfolio_exposure	public_equity; allocations	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S5	Returns and attribution	gradient_tool	get_portfolio_historical_returns; get_portfolio_attribution	all sections	2026-06-30	Illustrative sample data	degraded	sha256:aaaaaaaaaaaa
S6	Forward assumptions	gradient_tool	get_capital_market_assumptions	baseline	2026-06-15	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S7	13F look-through	gradient_tool	get_portfolio_exposure	include=lookthrough_13f	2026-05-15	Illustrative sample data	advisory	sha256:aaaaaaaaaaaa
S8	Manager mandate evidence	gradient_tool	get_gradient_capabilities	illustrative	2026-06-30	Illustrative sample data	passed	sha256:aaaaaaaaaaaa
S9	Scenario and cost coverage	gradient_tool	get_gradient_capabilities	illustrative	2026-06-30	Illustrative sample data	advisory	sha256:aaaaaaaaaaaa

Illustrative, Gradient Maintained — demo data, not the client's holdings or managers. All organizations, portfolios, managers and results in this public example are illustrative.

Full digests — S1: sha256:aaaaaaaaaaa